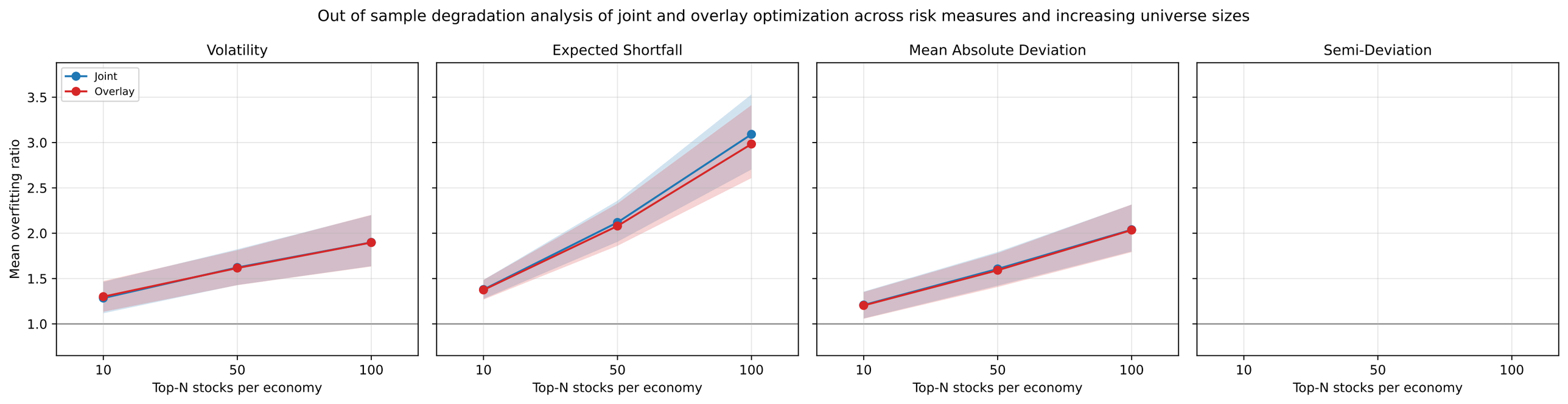
Out of sample degradation analysis of joint and overlay optimization across risk measures and increasing universe sizes
Volatility
Expected Shortfall
Mean Absolute Deviation
Semi-Deviation
Joint
Overlay
Mean overfitting ratio
3.5
3.0
2.5
2.0
1.5
1.0
10
50
100
Top-N stocks per economy